📊 Business Insights – Customer Churn Analysis

◇ Overall Churn Situation

The company has a **churn rate of 26.5%**, meaning approximately **1 out of every 4 customers leaves the service**. This indicates a significant customer retention challenge that needs immediate attention.

◇ Contract Type Drives Churn (Key Factor)

Customers with **month-to-month contracts show the highest churn (~43%)**, whereas customers on **one-year (11%) and two-year contracts (3%)** are far more likely to stay.

👉 **Insight:**
Short-term contracts increase flexibility but also lead to higher churn. Long-term commitments strongly improve retention.

◇ Payment Behavior Impact

Customers using **electronic check have the highest churn (~45%)**, compared to significantly lower churn in **automatic payment methods** like credit cards and bank transfers.

👉 **Insight:**
Customers using manual or less convenient payment methods are more likely to leave.

◇ Pricing Sensitivity

Customers who churn have a **higher average monthly charge (₹74)** compared to retained customers (₹61).

👉 **Insight:**
Higher pricing is directly associated with increased churn, indicating **price sensitivity among customers**.

◇ Customer Lifecycle (Tenure Effect)

Churned customers have an average tenure of **17 months**, while retained customers stay for **37 months**.

👉 **Insight:**
Customers are most vulnerable **early in their journey**, and retention improves over time.

◇ High-Risk Customer Segment (Tenure Groups)

Customers with **less than 1 year tenure have the highest churn (~47%)**, while those with **more than 4 years show very low churn (~9%)**.

👉 **Insight:**
The **first year is critical** — early engagement and satisfaction determine long-term retention.

◇ Internet Service Type

Customers using **fiber optic services show the highest churn (~42%)**, compared to DSL and no internet service.

👉 **Insight:**
Despite being a premium offering, fiber optic customers may be experiencing **service quality or pricing dissatisfaction**.

◇ Senior Citizen Segment

Senior citizens have a **higher churn rate (~42%)** compared to non-senior customers (~24%).

👉 **Insight:**
This segment may require **better support, simpler plans, or personalized services**.

🎯 Final Business Conclusion

Customer churn is primarily influenced by:

- **Contract flexibility (month-to-month)**
- **High monthly charges**
- **Short customer tenure**
- **Payment method (electronic check)**
- **Fiber optic service usage**

👉 **Strategic Focus Areas:**

- Encourage customers to shift to **long-term contracts**
- Improve **early-stage customer experience (first year)**
- Promote **automatic payment methods**
- Re-evaluate **pricing and service quality for premium users**
- Provide **targeted support for senior citizens**